

Before the
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-01

Visual Comfort & Co.
v.
COSCO Shipping Lines Co. Ltd.

RESPONDENT’S MOTION FOR RECONSIDERATION

Respondent COSCO Shipping Lines Co. Ltd (“Respondent” or “COSCO”), through its undersigned counsel, hereby moves for reconsideration of the Presiding Officer’s February 10, 2025 Order Requiring Respondent to Perform Searches Through November 28, 2022 (“Order”). In particular, COSCO respectfully requests that the Presiding Officer reconsider the Order to the extent that it requires COSCO to search for and produce documents for the period between January 1, 2022 through November 28, 2022.

The Presiding Officer *sua sponte* ordered an expansion of discovery to newly include relevant communications dated between January 1, 2022 through November 28, 2022. Order at 6. But this is neither what the Complainant Visual Comfort & Co. (“Complainant” or “VCC”) sought in discovery, nor was this previously compelled by the prior-assigned presiding officer.¹ For the reasons set forth below, COSCO respectfully requests the reconsideration of the February 10

¹ By Order of the Chief Administrative Law Judge of the Federal Maritime Commission (“FMC” or “Commission”), this proceeding was re-assigned to the current Presiding Officer, Administrative Law Judge Ambrow, from ALJ Crovella on December 9, 2024. Notice of Reassignment (December 9, 2024), FMC Dkt. Entry No. 68. The Presiding Officer was detailed to the Federal Maritime Commission. Federal Maritime Commission, “FMC Adding Two Administrative Law Judges on Temporary Basis” (October 8, 2024) (available at: <https://www.fmc.gov/articles/fmc-adding-two-administrative-law-judges-on-temporary-basis/>).

Order.²

As required by the Commission's Rules, Counsel for COSCO has conferred with counsel for VCC, who said it will oppose this Motion.

BACKGROUND

Judge Crovella held a conference with the Parties on July 29, 2024, at which she ordered the Parties to meet and confer on an ESI protocol and search terms. Memorandum Order on Motions to Compel (ALJ Crovella, July 31, 2024) (Dkt Entry No. 40) at 1. In that Memorandum Order, Judge Crovella noted, "...Respondent indicated that they first need to agree to an electronically stored information ("ESI") protocol and create search terms." Memorandum Order at 3. Judge Crovella ordered COSCO to produce responsive documents and VCC to respond to interrogatories no later than August 14, 2024.

On August 2, 2024, the Parties filed a Joint Status Report in which Complainant stated that by August 5, 2024, it would send a proposed ESI protocol to Respondent. Joint Status Report (August 2, 2024) FMC Dkt. Entry No. 41. The Parties met on August 9, 2024 and agreed on search terms, including date range and custodians, for COSCO's search for correspondence to or from Respondents responsive to RFD6 and SRFD5. Joint Status Report (August 9, 2024), FMC Dkt. Entry No. 42. The agreed-upon terms were memorialized in an email that day from counsel for Respondent to counsel for Complainant, attached to the instant Motion as Exhibit A. As that correspondence reflects, counsel for Respondent reiterated the Parties' verbal agreement, among other things, that COSCO would search for the agreed-upon terms in the agreed-upon custodial

² Respondent is not requesting reconsideration of the Order's requirements that it (1) file a general description of the documents located and produced; (2) clarify whether it previously used the term "Visual Comfort" in conducting searches for documents from 2020 and 2021; or (3) clarify what searches were performed regarding perdiem@cosco-usa.com. Nor is Respondent now requesting an extension of time. Should the Presiding Officer, however, fail to grant the relief requested herein by revising the Order, Respondent will likely need to do so.

locations, as well as the agreed-upon date range of April 22, 2020³ through December 31, 2021 as follows:

Jennifer, Jacob, Melissa:

Thank you for discussing our implementation of Judge Crovella's orders and the schedule going forward yesterday, August 9. We believe it would be helpful to both parties to summarize what was discussed and agreed upon.

1. VCC Interrogatory Responses:

- a. VCC considering response; COSCO has requested as soon as possible but no later than September 9, 2024.

2. COSCO's Production:

a. VCC's RFD6 – agreed search terms

- i. Date range: April 22, 2020-December 31, 2021

- ii. Custodians: COSCO will search for responsive communications in every U.S. complaint portal (LALB, USA Other; and Headquarters (Shanghai)

- iii. The agreed initial search terms will be:

- 1. Each MBL# in excel spreadsheet "VCC 000005 VCC COSCO Charges by Container Number" AND rimlogistics" OR "sherdel" OR "knight." Duplicative numbers in "VCC 000005 VCC COSCO Charges by Container Number" need not be searched more than once; and

- 2. Each container number in "VCC 000005 VCC COSCO Charges by Container Number" AND "rimlogistics" or "sherdel" or "knight". Duplicative numbers in "VCC 000005 VCC COSCO Charges by Container Number" need not be searched more than once.

- 3. "VCC"

- 4. "Visual Comfort"

- 5. "Generation Brands"

- iv. Once the initial collection and review has been done, COSCO will make an effort to produce documents on a rolling basis.

³ The effective date of the assignment of claims to VCC from RIM Logistics, Ltd., the direct purchaser, was April 22, 2024. Complainant's Motion for Leave to File Sur-Reply to Respondent's Motion for Partial Judgment on the Pleadings (Exhibit A)(April 25, 2024), FMC Dkt. Entry No. 24. The limitations period for reparations claims pursuant to the Shipping Act is three years. 46 U.S.C. 40301(a).

b. COSCO's collections of demurrage and detention by quarter for April 22, 2020-December 31, 2022: COSCO will revert this week.

3. ESI Protocol:

- a. Parties agreed to revisit VCC's proposed ESI protocol after COSCO runs the above searches and determines the quantity of potentially responsive documents.

On August 20, 2024, ALJ Crovella ordered the Parties to file another joint status report explaining the status of the ESI document search and production. Order on Joint Status Report and Scheduling (Crovella, August 20, 2024) FMC Dkt. Entry No.43. Accordingly, the Parties filed a Joint Status Report and proposed schedule on August 30, 2024 (FMC Dkt. Entry No. 44), stating: "Respondent has run document searches based on the search terms proposed by Complainant. These searches were completed on August 29, 2024, and resulted in just under 400 documents." August 30 Joint Status Report at 1. On September 5, 2024, ALJ Crovella issued a revised Scheduling Order instructing COSCO to produce the results of its search by September 9, 2024. Amended Scheduling Order (Crovella, September 5, 2024) FMC Dkt. Entry No. 45.

After review by counsel and marking for production, COSCO then produced the resulting relevant documents, Bates-stamped as COSCO_000101 - COSCO_001860. Harper Declaration at ¶20b, Respondent's Response to Order granting Complainant's Second Motion to Compel in Part (filed February 7, 2025).

ARGUMENT

A. Applicable Law and Regulation

The instant proceeding was initiated by the filing of a complaint by VCC pursuant to the Shipping Act, 46 U.S.C. § 40301. Private complaints brought before the FMC pursuant to 46 U.S.C. § 40301, such as the instant matter, are adversarial proceedings and the role of the Commission, or the appointed presiding officer, is one of neutral decision-making. As the Supreme Court held in *Fed. Mar. Comm'n v. S.C. State Ports Auth.*, 535 U.S. 743, 764 (emphasis supplied), "The

prosecution of a complaint filed by a private party with the FMC is plainly not controlled by the United States, but rather is controlled by that private party; the only duty assumed by the FMC, and hence the United States, in conjunction with a private complaint is to assess its merits *in an impartial manner*.” This impartiality is accomplished through the Commission’s rules of procedure governing private complaints (46 U.S.C. 502 Subpart E) and discovery rules for such proceedings (46 U.S.C. 502 Subpart J). The Commission’s rules for discovery in private complaints provide that “a party may serve on another party a request” for documents and ESI. 46 C.F.R. 146(a)(1).

B. Standard of Review

The FMC’s Rules do not specify any standards for reconsideration of interlocutory orders by the Presiding Officer (although they do for reconsideration of final Commission orders). Accordingly, Presiding Officers have substantial authority to flexibly reconsider their decisions prior to issuance of the Initial Decision. As the Commission explained in *Tractors and Farm Equipment, Ltd v. Waterman Steamship Corp.*, 25 F.M.C. 375, 377 n. 9 (FMC 1982), for example, “A presiding officer may properly reconsider and reverse interlocutory rulings made prior to the initial decision, whether those rulings are made by him or her or by a previously assigned [ALJ].” To like effect, see *Carolina Marine Handling, Inc. v. South Carolina State Ports Authority, et al.*, 2000 WL 1072111, at *1, where Judge Dolan explained that reconsideration can properly be based on correction of the Presiding Officer’s misconception of the facts. *Id.* at *1. As there is clearly a need to correct a misconception, the Presiding Officer would be well within his discretion to reconsider the matter.

C. The Order Exceeds the Discovery Request and the Parties’ Agreement

The Order of February 10 states,

It appears that the parties have not expressly agreed to the relevant date range for documents. Indeed, neither Second CMTC, nor the status reports of December 31,

2024, discuss the relevant date range. [...] Therefore, in order to move this matter along to a just, speedy and inexpensive determination, I find that the relevant date range at issue is January 1, 2020, through November 28, 2022. Order at 6.

We cannot fault the Presiding Officer for this misconception of facts which preceded his assignment to this case. But as documented in the Parties' joint status reports and in the correspondence attached hereto as Exhibit A, the Parties did in fact agree on the scope of COSCO's search for communications responsive to RFD6 and SRFD5, as had been instructed by Judge Crovella.

The scope of the February 10 Order, however, significantly broadens the discovery request made by Complainant as agreed by the Parties, including the time period request to be from April 22, 2020 through December 31, 2021. Prior to the February 10 Order, Complainant has never requested that Respondent produce documents for the expanded time period of the February 10 Order. Ordering additional discovery at this point in the proceeding goes beyond the order of the prior presiding offer, beyond what VCC has previously requested, and beyond what the Parties have previously agreed. The Order should therefore be reconsidered and revised accordingly.

C. Expanding Discovery Will Cause Undue Delay

Finally, on a practical level, expanding the scope of the search will not "move this matter along to a just, speedy, and inexpensive determination." Order at 6. To the contrary, expanding the search as set out in the Order will cause undue delay and expense. A year's worth of data contained in the relevant COSCO customer service portals involves terabytes of data. Searching each of the identified custodial accounts and the customer service portals across an entire additional year of documents for the 437 individual bill of lading numbers and additional 437 individual container numbers listed in VCC000005, plus the three additional search terms is thus a major undertaking.

CONCLUSION

Based on the foregoing, Respondent respectfully requests that the Presiding Officer

reconsider the Order of February 10, 2025, and find Respondent has completed the agreed-upon searches in conformance with Judge Crovella's Order of August 30, 2024.

DATED: February 13, 2025

Respectfully submitted,

/s/ Nicholas Webb

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CERTIFICATE OF SERVICE

I hereby certify that on this 13 day of February, 2025 a true and correct copy of the foregoing Motion for Reconsideration (with Exhibits) was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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